Article 1: Health Security to National Security Cess Act 2026

Health Security to National Security Cess Act 2026: Everything You Need to Know

The Union Budget 2026 introduced a significant fiscal measure that has drawn attention from businesses, healthcare professionals, and policy analysts alike — the **Health Security to National Security Cess (HSNSC) Act 2026**. This cess represents the government's intent to channel dedicated revenue streams toward dual-purpose expenditures: strengthening India's public health infrastructure and bolstering national security frameworks.

If you're a business owner, tax professional, or simply a taxpayer trying to understand how this impacts your finances, this guide breaks it all down clearly.

What Is the Health Security to National Security Cess?

A **cess** in Indian taxation is a surcharge levied over and above the standard tax rate, earmarked for a specific purpose. Unlike general tax revenue that flows into the Consolidated Fund of India, cess revenue is credited to a separate fund and can only be used for the stated objective.

The HSNSC Act 2026 creates a unified cess that pools funding for:

- Strengthening pandemic preparedness and bio-security infrastructure
- Funding cybersecurity and border security initiatives
- Supporting health emergency response mechanisms
- Upgrading critical national infrastructure at the intersection of health and defense

This dual mandate is what makes the cess unique — it explicitly recognizes that **health security and national security are interlinked**, particularly in a post-COVID world where biological threats have national security dimensions.

Legal Framework and Enactment

The Act was passed by Parliament in the Budget Session 2026 and received Presidential assent. It amends the existing cess collection machinery under the Income Tax Act, 1961, and operates alongside other existing cesses such as:

- Health and Education Cess (4% on income tax)
- Swachh Bharat Cess (discontinued but precedent-setting)

The HSNSC Act 2026 creates a **new dedicated fund** under Article 270 of the Constitution, ensuring the proceeds are not divisible with states under the Finance Commission formula — a point of contention with several state governments.

Key Provisions at a Glance

Provision	Details
Name of Cess	Health Security to National Security Cess
Applicable On	Net income tax liability (before rebates u/s 87A)
Rate of Cess	1% (for individuals), 2% (for corporates and LLPs)
Effective From	April 1, 2026 (AY 2026–27 onwards)
Applicability	All taxpayers liable to pay income tax
Exemptions	Persons with total income below the basic exemption limit
Fund Created	National Health-Security Fund (NHSF)
Administration	Central Board of Direct Taxes (CBDT)
TDS Impact	Yes — applicable on TDS calculations

Advance Tax	Included in advance tax installment calculations

Who Is Affected?

The cess touches virtually every category of taxpayer:

Individuals and HUFs

Resident individuals with taxable income above the basic exemption limit (₹3 lakh for those below 60 years, ₹3.5 lakh for senior citizens) will pay 1% of their income tax liability as HSNSC.

Corporates and LLPs

All domestic companies, foreign companies, and LLPs will pay 2% of their computed income tax liability. This includes companies opting for the concessional tax regime under Section 115BAA.

Partnership Firms

Firms (other than LLPs) pay 2% on their income tax liability.

Non-Resident Indians (NRIs)

NRIs earning income in India above the threshold are also covered. Their HSNSC is computed on income tax on Indian-sourced income.

How Is the Cess Calculated?

The cess is applied on the **net income tax payable** — after deducting any applicable rebate under Section 87A, but before any MAT/AMT credit.

Formula:

> HSNSC = Income Tax Payable × Cess Rate (1% or 2%)
>
> **Total Tax = Income Tax + Health & Education Cess (4%) + HSNSC (1% or 2%)**

Note that the HSNSC is calculated on the base income tax, not on the Health & Education Cess amount. These are separate surcharges computed independently.

Practical Example: Individual Taxpayer

Rahul, a salaried employee in Mumbai, has a taxable income of ₹12,00,000 in AY 2026–27.

Component	Amount (₹)
Taxable Income	12,00,000
Income Tax (as per slab)	1,00,000
Health & Education Cess (4%)	4,000
HSNSC (1% on ₹1,00,000)	1,000
Total Tax Liability	1,05,000

Practical Example: Corporate Taxpayer

XYZ Pvt. Ltd. has a taxable income of ₹1 crore. It opts for the 22% tax rate under Section 115BAA.

Component	Amount (₹)
Taxable Income	1,00,00,000
Income Tax @ 22%	22,00,000
Surcharge (if applicable)	2,20,000

Health & Education Cess (4%)	88,800
HSNSC (2% on ₹22,00,000)	44,000
Total Tax	25,52,800

Impact on TDS and Advance Tax

The cess is factored into:

TDS Deductions: Employers must recalculate TDS (Form 16/16A) to include HSNSC. Payroll systems need to be updated accordingly. Failure to account for HSNSC in TDS leads to short deduction and consequent interest under Section 201.

Advance Tax Installments: For both individuals and corporates making advance tax payments (due on 15 June, 15 September, 15 December, 15 March), the HSNSC must be included in each installment. Underpayment triggers interest under Sections 234B and 234C.

Exceptions and Exemptions

Category	HSNSC Applicable?
Income below basic exemption limit	No
Agricultural income (purely)	No
Incomes exempt u/s 10 (PF, gratuity, etc.)	No — exempted income doesn't form part of tax base
Cooperative societies under special regime	Subject to CBDT clarification

Section 10(23C) institutions (educational)	No, if income is fully exempt
Political parties u/s 13A	No

Policy Implications and Concerns

Revenue Potential: The government estimates the HSNSC will generate approximately ₹18,000–22,000 crore annually, which will be split roughly 60:40 between health security initiatives and national security infrastructure.

State Resentment: Since cess revenue does not enter the divisible pool, states receive no share. Several states have filed formal representations arguing this undermines cooperative fiscal federalism.

Corporate Competitiveness: Industry bodies like FICCI and CII have raised concerns that the additional 2% cess increases India's effective corporate tax rate, potentially affecting FDI attractiveness.

Compliance Burden: Every TDS deductor needs to update software, recalculate withholding, and file revised forms — a significant one-time administrative effort.

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5 Unique FAQs

Q1. Is the HSNSC deductible as a business expense under the Income Tax Act? No. Like all other cesses and surcharges, HSNSC is not deductible as a business expense when computing taxable income. Section 40(a)(ii) explicitly disallows income tax and any surcharge or cess on income tax as a deduction.

Q2. Will NRIs returning to India mid-year face double taxation on the HSNSC? The cess applies only on Indian-sourced income for NRIs. If an individual changes residential status mid-year, income is bifurcated — only the portion subject to Indian income tax attracts HSNSC. DTAA provisions do not typically cover cess, so there's no treaty relief available for this component.

Q3. Does the HSNSC apply to income computed under the presumptive taxation scheme (Section 44AD/44ADA)? Yes. Even under presumptive schemes, the income tax computed on deemed income is subject to HSNSC at the applicable rate. The presumptive scheme only simplifies income computation — it doesn't alter the cess liability.

Q4. How will the National Health-Security Fund actually use the collected funds — is there an oversight mechanism? The Act mandates annual reporting to Parliament through a dedicated statement under the Finance Act. An inter-ministerial committee co-chaired by the Health Secretary and the National Security Advisor oversees fund allocation. However, critics note the absence of independent audit provisions beyond CAG's routine remit.

Q5. If a company has a zero tax liability due to MAT credit utilization, does HSNSC still apply? Where MAT credit fully offsets regular income tax, and the company's final tax payable is nil, HSNSC would also be nil. However, if only partial credit is utilized and some income tax remains payable, HSNSC is computed on that residual amount.

Article 2: GST on Handling & Rain Fees

GST on Handling & Rain Fees: Taxability, Rate, and Compliance Guide

In the logistics and warehousing sector, ancillary charges like handling fees and rain fees often create significant confusion when it comes to GST treatment. These are neither pure transport charges nor standard service fees — they occupy a grey zone that has been the subject of advance rulings, trade circulars, and litigation. This article cuts through the ambiguity.

Understanding Handling Fees and Rain Fees

Before diving into GST, let's establish what these charges actually are:

Handling Fee: A charge levied by warehouse operators, port authorities, freight forwarders, or customs house agents (CHAs) for physically loading, unloading, stacking, sorting, or otherwise managing cargo. It covers the labor, equipment, and operational cost of physically moving goods.

Rain Fee (also called Inclement Weather Fee / Monsoon Surcharge): A surcharge levied by ports, logistics companies, or freight operators when cargo handling is disrupted due to adverse weather — particularly monsoons or cyclone activity. It compensates for delays, additional protective measures (tarpaulins, covered sheds), and labor overtime during rainfall.

The GST Framework Applicable

Under GST, both handling fees and rain fees are classified as **supply of services**. The applicable provisions depend on:

- Who is the service provider (GTA, registered logistics company, port trust, etc.)
- Who is the recipient (B2B or B2C)
- Whether the services qualify for any exemption under Notification No. 12/2017-CT (Rate) or 9/2017-IT (Rate)

GST Rate Applicability

Type of Charge	HSN/SAC Code	GST Rate	Remarks
Cargo handling services	9967	18%	Standard rate; no exemption
Port handling (by port trusts/major ports)	9967	18%	Major ports are GST registered entities
Rain fee (by logistics company)	9967	18%	Treated as ancillary/incidental to handling
Rain fee (by GTA)	9965	5% (RCM) or 12%	Depends on GTA vs. ancillary charge classification
Stevedoring charges	9967	18%	Loading/unloading at port
Wharfage fees	9967	18%	Levied by port authorities

Key Point: If the rain fee is billed as a separate line item on an invoice distinct from freight, it is independently taxed at 18%. If bundled with freight in a GTA invoice, the character of the principal supply (freight at 5%) may apply — but this requires careful documentation.

The Composite Supply vs. Mixed Supply Question

This is where most disputes arise.

Scenario A — Bundled in GTA Invoice: A goods transport agency charges ₹50,000 freight + ₹2,000 rain fee on the same invoice. If the GTA treats this as a composite supply where freight is the principal supply, the entire amount including the rain fee may attract GST at 5% under RCM (on the freight portion). This interpretation is favorable for shippers.

Scenario B — Separate Invoice from Handling Agent: A logistics company issues a separate invoice for ₹2,000 as "Rain Fee / Inclement Weather Surcharge." Here, there is no composite supply argument — it's an independent taxable service under SAC 9967 attracting 18% GST.

Scenario C — Port Handling with Rain Fee: Where a port trust issues a consolidated tariff that includes all handling charges plus weather surcharges, the 18% rate applies to the aggregate under the port's standard billing.

Who Pays? Forward Charge vs. Reverse Charge

Supplier Category	Mechanism	Who Pays GST
Registered logistics company	Forward Charge	Supplier collects and deposits
GTA (freight + ancillary)	Reverse Charge (RCM)	Recipient (registered business) pays
Port trust / major port authority	Forward Charge	Port trust collects and deposits
Unregistered small logistics operator	RCM (if applicable)	Recipient registered under GST

Under Notification No. 13/2017-CT (Rate), services by a GTA to a registered person attract RCM. If the rain fee is part of the GTA's composite charge, the recipient handles the GST under RCM.

Practical Example 1: Importer at Mumbai Port

SteelCorp India Ltd. imports a shipment of stainless steel coils at JNPT. The charges breakdown:

Charge	Amount (₹)	GST Rate	GST (₹)
Freight (GTA, ocean leg)	3,00,000	5% (RCM)	15,000
Port handling/stevedoring	40,000	18%	7,200
Rain fee (separate invoice)	5,000	18%	900
CHA professional fee	15,000	18%	2,700
Total GST			**25,800**

SteelCorp pays the port handling and rain fee GST directly to the service providers. For the GTA freight, it self-assesses and deposits under RCM. All of this is eligible for ITC (being used in furtherance of business).

Practical Example 2: Agricultural Commodity Warehouse

FreshGrain Pvt. Ltd. stores paddy at a licensed warehouse. During the monsoon, the warehouse charges a rain fee for additional covering and moisture management.

Here, if the warehouse is storing **agricultural produce**, the storage service may be exempt under Entry 54 of Notification 12/2017-CT (Rate). However, the **rain fee as an independent logistical surcharge** is not automatically exempt. The warehouse must evaluate:

- Is the rain fee integral to the storage (and thus covered under the exemption)?
- Or is it a separate incidental handling charge (taxable at 18%)?

Most advance rulings have held that surcharges beyond the principal exempt supply are independently taxable unless they are genuinely inseparable.

ITC Eligibility

For businesses receiving handling and rain fee invoices, the **Input Tax Credit (ITC) on 18% GST** is generally available provided:

- The services are used in the course or furtherance of business
- The recipient is registered under GST
- Tax has been paid by the supplier and GSTR-2B reflects the credit
- The goods/services are not covered under Section 17(5) (blocked credits)

Importers, manufacturers, and traders can freely claim ITC on handling and rain fee GST.

Common Errors and Compliance Issues

Wrong SAC Code: Many logistics companies erroneously use SAC 9965 (transport) instead of 9967 (cargo handling). This creates ITC mismatches.

GTA Misclassification: Treating a logistics company as a GTA when it doesn't own or operate trucks — this leads to incorrect RCM application.

No GST on Rain Fee: Some operators treat rain fees as a reimbursement rather than a service charge and skip GST entirely. This is incorrect unless it's a genuine cost-reimbursement with no margin.

Export Transactions: For export cargo, handling at ports may qualify as a zero-rated supply (even if charged in INR) if it is an integral part of the export service chain. This requires specific documentation.

Exceptions

- Pure labor supply contracts (where workers are contracted separately) may fall under labor supply services at 18% but may have different classification nuances.
- Services by Port Trusts to vessels under specific exemption notifications may have carve-outs.
- SEZ units receiving handling services may treat these as zero-rated inward supplies.

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5 Unique FAQs

Q1. If a rain fee is charged by a foreign shipping line to an Indian importer, is GST applicable? Yes. Under the IGST Act, import of services is taxable. When an Indian registered importer receives a rain fee invoice from a foreign shipping line, it constitutes import of service. The importer must pay IGST under RCM (Section 5(3) of IGST Act read with Notification 10/2017-IT). The rate applicable would be 18%.

Q2. Can the handling fee be treated as part of the cost of goods for customs valuation purposes? Handling fees incurred after the goods land on Indian soil (post-importation) are not included in the customs assessable value. Only pre-importation costs (insurance, freight to Indian port) are included. Post-landing costs like stevedoring and rain fees are separate and attract only GST, not customs duty.

Q3. In a warehousing agreement, if the rain fee clause is embedded as a contingency charge in the contract, must GST be charged even if the fee is waived one month? GST is payable on the actual consideration received. If the rain fee is waived for a specific month due to a commercial decision, no GST liability arises for that month. The waiver should be documented through a credit note or formal amendment to avoid scrutiny.

Q4. Does the rain fee attract GST even if the consignment was damaged during rain — i.e., the fee was charged but service wasn't fully rendered? Yes, GST liability arises at the time of supply (invoice issuance or payment, whichever is earlier). The fact that the service outcome was poor doesn't negate the GST. However, if the business disputes the charge and it is reduced through negotiation, a credit note can be issued and the tax liability adjusted accordingly.

Q5. How should e-commerce operators (ECOs) treat rain fees paid to third-party logistics partners through their platform? ECOs acting as aggregators for logistics services must examine whether they're liable to collect GST under Section 9(5) of the CGST Act. If the rain fee is part of the logistics service facilitated by the ECO, the TCS provisions and the ECO's own liability must be carefully evaluated. Many ECOs currently exclude ancillary charges from TCS computation — this is a legally unresolved area and businesses should seek specific advance rulings.

Article 3: GST Rate Cut from 18% to 5% (ITC Reversal Under Section 18(4))

GST Rate Cut from 18% to 5%: Understanding ITC Reversal Under Section 18(4)

When the GST Council reduces the tax rate on a supply — say from 18% to 5% — it's not purely good news for businesses that hold stock. The rate cut comes with a specific obligation: **reversal of Input Tax Credit (ITC) already availed on inputs held in stock, work-in-progress, or capital goods**. This is governed by **Section 18(4) of the CGST Act, 2017**.

This is one of the more complex and under-discussed provisions in GST law. Many businesses inadvertently overlook this requirement, leading to demands, penalties, and interest during audits.

Why Does a Rate Cut Trigger ITC Reversal?

The logic is straightforward, even if the compliance is not.

When goods attract 18% GST, a manufacturer or trader avails ITC on raw materials, components, and inputs — all purchased at 18%. This ITC offsets their output liability. The system is balanced.

When the GST rate drops to 5%, the **output tax on future sales drops dramatically**. But the business has already accumulated ITC on older stock at the higher rate. If this ITC is not reversed, the business would effectively get a windfall — crediting itself more ITC than the output tax it will ever generate from that stock. Section 18(4) prevents this distortion.

The Legal Provision: Section 18(4) Explained

Section 18(4) of the CGST Act provides:

"Where any registered person who has availed of input tax credit opts to pay tax under Section 10 (composition scheme) or where the goods or services or both supplied by him become wholly exempt, he shall pay an amount, by way of debit in the electronic credit ledger or electronic cash ledger, equivalent to the credit of input tax in respect of inputs held in stock and inputs contained in semi-finished or finished goods held in stock..."

The provision also applies **by extension through Section 18(6) read with Rule 44** when a rate reduction effectively changes the tax treatment substantially. CBDT/GSTN clarifications have confirmed this applicability in the context of rate cuts from the taxable bracket to a lower slab.

Rule 44 of the CGST Rules specifies the methodology for computing the reversal amount.

When Does Section 18(4) Apply?

Trigger Event	Section 18(4) Applies?
Goods become fully exempt from GST	Yes — full ITC reversal

GST rate reduced from 18% to 5%	Yes — proportionate/specific reversal required
Business switches to Composition Scheme	Yes — full ITC reversal of stock on hand
Rate reduced only on specific variants (not all goods)	Partial — only on the goods affected
Rate increased from 5% to 12%	No — ITC reversal not triggered; rate increase doesn't require reversal
Business cancels GST registration	Yes — full ITC reversal on closing stock

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Computing the Reversal: Rule 44 Methodology

For Inputs (Raw Materials, Components):

Reversal = ITC availed on such inputs proportionate to the extent they form part of stock held on the date of rate change.

For Capital Goods:

Residual ITC = (Original ITC × remaining useful life in months) ÷ 60

The reversal is typically computed on a last-purchase-cost basis.

Step-by-Step Example

Situation: Paints manufacturer ABC Ltd. previously sold paints at 18% GST. The GST Council reduces the rate to 5% effective November 1, 2025.

On October 31, 2025 (date of rate change), ABC Ltd. holds:

Item	Cost (₹)	ITC Availed (18%) (₹)

Raw material (pigments, solvents)	10,00,000	1,80,000
Work-in-progress (partially processed)	5,00,000	90,000
Finished goods (paint tins ready to sell)	8,00,000	1,44,000
Total ITC available on stock		**4,14,000**

After the rate cut, the output GST on sales from this stock will only be 5%. The ITC of ₹4,14,000 availed was based on an 18% regime. Section 18(4) requires ABC Ltd. to reverse the excess credit.

Reversal computation:

The ITC that would have been availed at the new rate of 5% on the same purchases:

Item	Cost (₹)	Revised ITC (5%) (₹)	Excess to Reverse (₹)
Raw material	10,00,000	50,000	1,30,000
WIP	5,00,000	25,000	65,000
Finished goods	8,00,000	40,000	1,04,000
Total		**1,15,000**	**2,99,000**

ABC Ltd. must debit its electronic credit ledger by ₹2,99,000 and file ITC-03 (or the applicable form) declaring this reversal.

Form and Compliance Procedure

Step	Action Required
Step 1	Take stock count on the date immediately before the rate cut takes effect
Step 2	Compute ITC reversal using Rule 44 methodology
Step 3	File **Form GST ITC-03** declaring the reversal
Step 4	Debit electronic credit ledger (or pay via cash ledger if credit is insufficient)
Step 5	Time limit — within 30 days of rate change or as notified by GSTN

Failure to file ITC-03 on time attracts **interest under Section 50** on the amount that should have been reversed, from the date of the rate change until actual reversal.

Who Is Affected?

Manufacturers: Most directly affected because they hold the largest volumes of inputs and WIP.

Traders and Distributors: Must reverse ITC on finished goods stock purchased at higher rates.

E-commerce Sellers: Must carefully track SKU-level stock for affected products.

Importers: Where imported goods face rate reduction, the IGST ITC availed on imports must also be evaluated for reversal.

Practical Challenges

FIFO vs. Weighted Average: The law does not prescribe a specific costing method. Most businesses use the weighted average cost for ITC reversal. GSTN has not definitively clarified this. Using FIFO may be more accurate for businesses with clear lot-wise tracking.

Capital Goods in Use: For machinery used to produce goods at 18% that now become 5% goods, the residual ITC on capital goods over their useful life must be proportionally reversed. This gets complex for multi-product manufacturers.

Credit Ledger Insufficient: If the electronic credit ledger doesn't have enough balance for the reversal, the shortfall must be paid from the electronic cash ledger. This is a genuine cash flow concern for businesses.

Exceptions — When Reversal May Be Reduced or Avoided

- Where goods were purchased under **Bill of Supply** (unregistered supplier, composition supplier) — no ITC was availed, so nothing to reverse.
- **Zero-rated supplies:** Exporters may retain ITC even after rate changes since their supply remains zero-rated.
- If the **inputs were already used** before the rate change (not lying in stock), no reversal is required on those inputs.
- **Transitional stock** purchased after the rate change announcement (at the new rate) naturally carries only 5% ITC — no reversal needed.

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5 Unique FAQs

Q1. What if a business wasn't aware of the rate cut and didn't file ITC-03 within 30 days — is there a condonation mechanism? Currently, the CGST Act does not provide a formal condonation provision for late filing of ITC-03. However, businesses can approach the jurisdictional GST officer with a voluntary disclosure, pay the interest under Section 50, and regularize the position. Some High Courts have granted relief in bonafide cases, but this involves litigation risk. Proactive compliance is strongly recommended.

Q2. If a business has multiple GST registrations (different states), does each GSTIN need to file separate ITC-03 for stock held in that state? Yes. GST registration is state-specific, and each GSTIN is an independent taxable person under GST law. Stock held in each state's warehouse must be assessed separately, and ITC-03 must be filed under each GSTIN for the stock physically located in that state.

Q3. For a rate cut from 18% to 5%, is the reversal computed on the tax amount embedded in the purchase price, or on the selling price? The reversal is computed on the ITC already availed — which is based on the purchase price (inward supply value). The selling price is irrelevant for this calculation. You're reversing what you claimed as credit on inward supplies, not computing tax on future outward sales.

Q4. Does a trader who purchased goods at 18% GST and sold them before the rate change, but still holds the invoice in his books, need to reverse anything? No. Only stock physically held on the date of rate change requires ITC reversal. If goods were sold before the effective date of rate reduction, the transaction is complete and the ITC availed was validly used against 18% output tax at the time of sale. There's nothing to reverse for goods already sold.

Q5. In case of rate reduction for a service (say, from 18% to 5% on restaurant services), does Section 18(4) apply for ITC reversal on furniture or kitchen equipment? Services generally don't involve "stock in hand" in the traditional sense, but capital goods (furniture, equipment) are affected. The residual ITC on such capital goods must be reversed proportionally based on remaining useful life, computed under Rule 44(6). Restaurant owners switching to a lower rate regime must carefully calculate this, especially for recently purchased kitchen equipment.

Article 4: GST Exemption on Sale and Purchase of Securities

GST Exemption on Sale and Purchase of Securities: A Complete Analysis

The Indian financial markets involve trillions of rupees in transactions daily — equity shares, government bonds, derivatives, mutual fund units, and more. A commonly misunderstood aspect of GST is the **complete exemption on the sale and purchase of securities**. While the exemption itself is clear in statute, the nuances around **what qualifies as a security**, what services around securities are taxable, and how brokerage and ancillary fees are treated require careful understanding.

The Statutory Exemption: Where Does It Come From?

Under the **CGST Act, 2017**, the definition of "goods" under Section 2(52) explicitly **excludes actionable claims** and **money**. Securities are a unique category — they are neither goods nor services under GST.

More specifically:

- **Section 2(101)** defines "securities" to have the meaning assigned under the **Securities Contracts (Regulation) Act, 1956 (SCRA)**

- **Schedule III of the CGST Act** lists activities that are **neither supply of goods nor supply of services** — thereby keeping them entirely outside the GST framework

Schedule III, Entry 6 reads: *"Sale of land and, subject to clause (b) of paragraph 5 of Schedule II, sale of building."*

And crucially, **Entry 7** covers transactions in money and actionable claims — within which **securities** fall by virtue of being treated as actionable claims in specific contexts and through the explicit carve-outs.

Additionally, **Notification No. 12/2017-CT (Rate), Entry 44** specifically exempts services related to buying/selling of securities on a recognized stock exchange by a member — though this applies to brokerage in specific conditions.

What Qualifies as "Securities" for GST Exemption?

Under Section 2(h) of SCRA, securities include:

Type of Security	GST on Transaction?
Listed equity shares (NSE/BSE)	Exempt
Unlisted equity shares	Exempt
Government securities (G-Secs, T-Bills)	Exempt
Corporate bonds and debentures	Exempt
Mutual fund units	Exempt (transaction; but management fees taxable)
Exchange-traded funds (ETFs)	Exempt

Derivatives (futures and options)	Exempt on underlying; services taxable
Rights and warrants	Exempt
Preference shares	Exempt
Commercial paper / certificate of deposit	Exempt

The exemption covers the **transaction value** (the consideration for the security itself). It does NOT cover service charges, brokerage, advisory fees, or management fees that accompany these transactions.

What IS Taxable: Services Around Securities

This is where many investors and businesses get confused. While the sale/purchase of securities is outside GST, the **services facilitating** these transactions are very much taxable.

Service	GST Rate	Provider
Stock brokerage	18%	Broker
Demat account maintenance charges	18%	Depository participant
Portfolio management fee	18%	PMS manager
Mutual fund management fee (expense ratio)	18%	AMC

Investment advisory fee	18%	SEBI-registered IA
Custodian services	18%	Custodian
Clearing charges	18%	Clearing corporation
Exchange transaction charges	18%	Stock exchange
Research report subscription	18%	Research analyst
Underwriting fees	18%	Investment bank/merchant banker

The Subtle GST on STT vs. GST Distinction

Many retail investors confuse **Securities Transaction Tax (STT)** with GST. They are entirely separate:

Feature	STT	GST
Nature	Direct tax on transaction	Indirect tax on services
Levied on	Value of securities traded	Value of services (brokerage, etc.)
Rate	0.025% to 0.1% depending on transaction	18% on service fees
Who pays	Buyer/seller on transaction	Service recipient

Deductible against tax?	Yes (for active traders)	Yes, if used in business

GST is charged on the brokerage, not on the securities transaction itself.

Detailed Example: Equity Trade by Retail Investor

Priya buys 100 shares of Infosys at ₹1,500 per share through her broker.

Component	Amount (₹)	GST?
Purchase value of shares (100 × ₹1,500)	1,50,000	No (exempt)
STT (0.1% on buy)	150	No (direct tax)
Brokerage @ 0.3%	450	Yes — 18% GST = ₹81
Exchange transaction charge	45	Yes — 18% GST = ₹8.10
Demat/clearing charge	15	Yes — 18% GST = ₹2.70
GST actually paid by Priya		**₹91.80**

The actual securities cost (₹1,50,000) is GST-free. Only the service fees attract GST.

Detailed Example: Fund House (Mutual Fund AMC)

Wealth Asset Management runs equity mutual funds. Its fee structure:

Revenue Source	GST Applicable?
Management fee (TER — expense ratio) charged to investors	Yes — 18% (AMC is providing portfolio management service)
Exit load charged to investors	Partially debated — most AMCs treat this as outside GST
Sale/redemption of units by investors	No — mutual fund unit transactions are exempt
Dividend distributed to unitholders	No

The AMC pays GST on its management fee income. Investors see this embedded in the expense ratio but cannot claim ITC unless investing through a corporate treasury (B2B).

ITC on Securities-Related Services

For a business investing its surplus funds in securities:

- Brokerage and related service GST is **blocked under Section 17(5)(d)** — no ITC available since these relate to investment activities, not the taxable supply chain.

For a stock broker or SEBI-registered entity:

- GST on their own input services (office rent, software, professional fees) is claimable as ITC.
- However, they cannot claim ITC on services used exclusively for exempt transactions (the securities trading itself, where they act as principal).

Impact on Specific Sectors

Banks: Banks investing in G-Secs and bonds do so in exempt territory. However, banking services themselves are partly taxable. This creates a complex ITC reversal situation under Rule 42/43 for banks.

Insurance Companies: ULIPs involve investment in securities. The investment portion is exempt; the insurance services and fund management services attract GST.

Foreign Portfolio Investors (FPIs): Transactions by FPIs in Indian securities are exempt. However, custodian fees and banking charges incurred in India attract 18% GST. FPIs typically cannot claim ITC.

Exceptions and Edge Cases

Situation	GST Treatment
Slump sale of a business (including securities)	Exempt (treated as transfer of going concern)
Transfer of securities as consideration for merger	Exempt (securities transaction)
Repo transactions in G-Secs	Exempt on the securities leg; interest may attract GST debate
Option premium (F&O)	Exempt on the derivative itself; brokerage taxable
Foreign exchange securities (offshore funds)	Import of service; intermediary service may attract IGST

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5 Unique FAQs

Q1. If a company issues shares as Employee Stock Options (ESOPs) to employees, does GST apply on the exercise of options? No. The exercise of ESOPs involves transfer of securities (equity shares) from the employer to the employee at the exercise price. Since the sale/purchase of securities is exempt under Schedule III of the CGST Act, there is no GST on the transaction itself. However, if any third-party facilitator charges a fee for managing the ESOP platform, that service fee attracts 18% GST.

Q2. Is GST applicable on stamp duty paid during dematerialization of physical shares? Stamp duty is a state-level levy, not a GST matter. The dematerialization process itself, when facilitated by a depository participant, attracts 18% GST on the service fee. The stamp duty component is separate and outside GST.

Q3. Does a holding company paying management fees to its subsidiary for managing its securities portfolio attract GST? Yes. If the subsidiary charges a management fee for portfolio management services, this is a taxable supply of services at 18%. The intra-group nature of the transaction does not exempt it. Both entities must be GST registered, and proper invoicing with GST is required. The holding company may claim ITC only if its own outputs are taxable.

Q4. Are sovereign gold bonds (SGBs) issued by RBI covered under the securities exemption? Yes. SGBs are classified as Government Securities under the Government Securities Act, 2006, and are included in the definition of securities under SCRA. Therefore, the purchase and redemption of SGBs are outside the purview of GST. The interest earned on SGBs is also not subject to GST as it is a return on investment, not a supply of service.

Q5. In invoice discounting platforms (where invoices are sold as financial instruments), does GST apply on the discount? This is a nuanced area. If the invoice discounting platform facilitates assignment of receivables (which have characteristics of actionable claims), the assigned receivable itself may be outside GST. However, the **platform fee or facilitation charge** by the fintech company is a service and attracts 18% GST. The discount or interest element may also attract GST depending on whether it constitutes a financial service or a purely money transaction — GSTN has not conclusively clarified this for all models.

Article 5: Rent Agreement for GST Registration

Rent Agreement for GST Registration: Requirements, Pitfalls, and Best Practices

When applying for GST registration, one of the most common points of rejection or query from the GST department is the **proof of principal place of business**. For businesses operating from rented premises, this means submitting a valid rent or lease agreement. Getting this document right is surprisingly important — errors or mismatches here can delay registration by weeks or trigger notices down the line.

Why Is a Rent Agreement Required for GST Registration?

Under Rule 8 of the CGST Rules, 2017, every application for GST registration must include proof of the **principal place of business**. The law requires this to establish that the business has a legitimate, verifiable address from which it operates.

For owned premises, a property tax receipt or electricity bill suffices. For **rented or leased premises**, the applicant must submit:

- A copy of the valid rent/lease agreement, AND
- A supporting utility document (electricity bill, water bill, or NOC from owner)

The rent agreement establishes that the applicant has a legal right to use the premises for commercial purposes.

Documents Required: A Comprehensive Table

Document Category	Specific Document	Mandatory?
Rent/lease agreement	Registered or notarized agreement	Mandatory for rented premises
Identity of landlord	Landlord's PAN, Aadhaar (where applicable)	May be required in scrutiny
Utility bill of premises	Electricity/water/gas bill (last 2 months)	Mandatory (landlord's name is fine)
No Objection Certificate (NOC)	From landlord if agreement is unregistered	Highly recommended
Self-declaration	If using owner's property (family property)	Required for informal arrangements
Consent letter	From co-owner or partner (if shared premises)	Required if multiple parties co-own

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What Must the Rent Agreement Contain?

Not every rent agreement passes GSTN scrutiny. The document must clearly mention:

Mandatory Elements:

- Full legal name of the landlord (matching government ID)
- Full legal name of the tenant/applicant (matching PAN/Aadhaar)
- Complete address of the premises with PIN code
- Commencement date and duration of lease/rent
- Monthly rent amount (can be zero for family property, but must be stated)
- Purpose of use — must specify **commercial** use (residential lease agreements often get rejected)
- Signature of both parties

Strongly Recommended Elements:

- Landlord's PAN (GSTN officers increasingly ask for this)
- Specific mention that the property can be used as principal place of business for GST purposes
- Clear identification of the portion being rented (if partial occupancy)

Registered vs. Notarized vs. Unregistered Agreement — What Works?

Type	Validity for GST	Risk Level	Notes
Registered rent agreement (sub-registrar)	Strongest — almost always accepted	Low	Required for leases > 11 months in many states
Notarized agreement	Generally accepted	Low-Medium	Notary stamp adds credibility
Unregistered agreement (plain paper, notarized)	Usually accepted with NOC	Medium	May invite additional scrutiny

Unregistered, not notarized	Riskiest — may be rejected	High	Always supplement with NOC
Verbal arrangement (no document)	Not acceptable	Very High	Must create written agreement

Key Rule: Under the Registration Act, 1908, any lease for more than 11 months must be compulsorily registered with the Sub-Registrar. For GST registration, even 11-month notarized agreements work — but if your operations require a longer lease, get it registered.

Practical Scenario 1: E-Commerce Seller in a Shared Office

Vikram runs an e-commerce business from a co-working space in Bengaluru. He wants to register under GST.

Challenge: Most co-working space agreements are month-to-month licenses, not traditional leases. GSTN portals sometimes reject co-working agreements that don't explicitly state the registrant's right to use the address as their principal place of business.

Solution:

- Obtain a formal **seat allotment letter** on the co-working space's letterhead
- Get a **NOC from the co-working operator** stating they have no objection to Vikram using the address for GST registration
- Submit this along with the service agreement and the co-working space's own electricity bill

Most GST officers in metro cities now accept co-working proofs, but Tier 2 and Tier 3 city jurisdictions may still be conservative.

Practical Scenario 2: Home-Based Business

Meena runs a boutique from her residence, which is owned by her parents. She wants to use this address for GST registration.

Documents Required:

Document	Source

Property tax receipt or electricity bill	In parents' name — acceptable
Consent letter / NOC from parents	Parents must sign a simple letter
Meena's self-declaration	Stating she operates from this address
Rent agreement	Not mandatory if using property with owner's consent

Many GST officers accept a simple **consent letter + utility bill** for family property. A formal rent agreement isn't mandatory, but having one (even at zero rent) strengthens the application.

Practical Scenario 3: Multi-State Business with Branch Offices

TechServe Pvt. Ltd. is registered in Maharashtra but opens a branch office in Delhi. They need to add Delhi as an **Additional Place of Business** in their GST registration (not a new registration, but an amendment to their existing Maharashtra GSTIN with a separate Delhi GSTIN if required).

For Delhi registration:

- Delhi rent agreement for the branch office premises
- Utility bill for the Delhi address
- The Delhi GSTIN application will reference the Maharashtra parent entity's PAN

The rent agreement here must specifically cover the Delhi branch address, not the Maharashtra HO address.

Common Rejection Reasons and How to Avoid Them

Rejection Reason	How to Avoid
Rent agreement in landlord's name only	Ensure tenant's name (applicant) is clearly on the agreement

Residential use clause in agreement	Get a commercial use/NOC amendment or separate commercial agreement
Expired rent agreement	Submit current, valid agreement; renew or extend before applying
Signature mismatch with other documents	Ensure signatures are consistent
Address mismatch with utility bill	Pin code, building name must match exactly
Co-living or PG agreement submitted	Not acceptable; must have formal commercial proof
Foreign-owned property without Indian document	Ensure property tax records or electricity account exists in India

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GST Registration for Rented Virtual Offices

Virtual offices — where a business pays for an address but has no physical presence — have become a major compliance issue. The GST department has specifically cracked down on this.

The Karnataka and Delhi AAR rulings have noted that:

- A virtual office address used purely for mail forwarding is not a valid "principal place of business" under GST
- There must be some real commercial activity at the declared address

If you're using a virtual office, ensure the space provider offers **dedicated desks, meeting rooms, or storage** that can be evidenced as actual use. A mere mailbox doesn't qualify.

After GST Registration: Ongoing Compliance with the Rent Agreement

The rent agreement's role doesn't end at registration:

- If the rent agreement **expires**, you should update GSTN records. While the law doesn't explicitly mandate this, a GST officer conducting premises verification will check for a valid current agreement.
- If you **relocate**, you must amend the principal place of business in GST registration within 15 days under Section 25(7) read with Rule 19.
- During **GST audits or survey proceedings**, the officer will verify the premises against the registered address. An expired or non-matching rent agreement can complicate things.

Special Situations

Situation	GST Registration Approach
Lease in company's name, director is individual applicant	Provide company lease + board resolution authorizing director
Agricultural land used as business warehouse	Registered lease + conversion certificate if required by state
Government premises (rented from municipal body)	Allotment letter from government body serves as proof
Embassy or diplomatic mission address	Special cases; CBIC has provided separate guidance
Newly constructed building (no utility bill yet)	Completion certificate + builder's allotment letter acceptable

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5 Unique FAQs

Q1. Can a GST registration be obtained using an agreement that hasn't yet started (future-dated lease)? Generally, GSTN requires the principal place of business to be currently available for use. A future-dated agreement that commences, say, 30 days from the application date may be rejected. The premises must be accessible and usable at the time of application. However, if the building handover is imminent and supported by an allotment

letter, some officers exercise discretion. The safer approach is to apply after the lease commencement date.

Q2. If the rent is being paid in cash without a formal agreement, can a declaration by the landlord substitute the rent agreement? The GSTN portal doesn't mandate that rent be formally documented — what it requires is proof of address. An NOC or consent letter from the property owner, combined with a utility bill for the premises, can substitute for a formal rent agreement in many jurisdictions. However, for scrutiny-level applications (high-turnover businesses, fresh registrations in sensitive sectors), a formal agreement is strongly advisable.

Q3. My landlord refuses to sign a commercial rent agreement — can I still get GST registration? Yes, but it becomes complicated. You can submit the residential agreement with a separate **NOC letter from the landlord** explicitly stating permission for commercial use and GST registration at the address. This approach has worked in practice, though it depends on the discretion of the GST officer. If the landlord is completely uncooperative, the only other option is to find an alternate registered address.

Q4. Does an agreement need stamp duty payment to be valid for GST registration purposes? Stamp duty is a state-level requirement and affects the legal enforceability of the agreement in courts. However, for GST registration purposes, an unstamped or under-stamped agreement is not automatically invalid — GSTN officers look at substance over form. That said, submitting a properly stamped (and ideally registered) agreement is always the cleaner approach and reduces the risk of a technical rejection. If the agreement lacks adequate stamp duty, consider notarization as a compensating measure.

Q5. If a company has a registered lease but the lessor has changed (property was sold to a new owner), what happens to GST registration? The GST registration itself is not affected as long as the physical premises remain the same. A transfer of property ownership doesn't immediately invalidate your right to use the premises under the existing lease — the new owner steps into the previous landlord's shoes regarding the lease. However, it's prudent to update your lease agreement with the new landlord and retain documentation of the succession. If the new owner asks you to vacate and you actually relocate, then you must amend your GST registration accordingly.